

Agenda Item

4-A

Audits of Less Complex Entities – Explanation of Significant Changes to Proposed ISA for LCE

This paper explains the significant changes and the rationale for the changes that have been made to targeted areas of the proposed International Standard on Auditing for Audits of Financial Statements of Less Complex Entities (the ISA for LCE). The changes are explained from the Exposure Draft of the ISA for LCE (ED-ISA for LCE) or from the last Board meeting that has been discussed (i.e., either the [December 2022](#) meeting or [March 2023](#) meeting).

The changes are reflected in the marked draft in **Agenda Item 4-B**.

General

Throughout the standard.	The Less Complex Entities (LCE) Task Force (the Task Force) has moved requirements and Essential Explanatory Material (EEM) that are only applicable when there are engagement team members other than the engagement partner into a box.
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Preface – ISA for LCE

Paragraph	Significant Changes and the Rationale for Those Changes
P.1A.	See Agenda Item 4, paragraphs 12-14.
P.1B.	The Task Force added wording to address concerns from respondents that the International Standards on Auditing (ISAs) may not be used for additional guidance. The wording is largely in line with that proposed to the board in June 2022 when this theme was first discussed.
P.2. and P.3.	The Task Force merged these paragraphs and made edits to align them further with the language now used in the Authority as respondents noted the language was inconsistent with the Authority and may be confusing or misleading to users.
P.3A.	The Task Force moved this paragraph from paragraph P.5., so content related to the Authority is together.

Paragraph	Significant Changes and the Rationale for Those Changes
P.4.	The Task Force added additional content to this paragraph based on ISA 200,¹ paragraph 2, for clarity, given that respondents noted that the paragraph may be confusing or incomplete.
The Applicable Financial Reporting Framework	
P.7.	The Task Force removed an unnecessary repetition.
Format of the ISA for LCE	
P.12.	The Task Force aligned the descriptions in this paragraph with revisions to other Parts.
P.13.	The Task Force removed content regarding the numbering of the proposed standard that is easily observable and not deemed necessary to explain.
EEM under P.13.	The Task Force added guidance to explain that requirements and EEM for situations when there are engagement team members other than the engagement partner are presented in a box throughout the standard.
P.14A	The Task Force clarified that the use of “LCE” or “Entity” throughout the standard also refers to a group. The concept of a group is explained further in the Authority.
Public Sector Entities	
P.19.	The Task Force edited this for clarity and consistency with ISA 200, paragraph A68.

Authority of the ISA for Audits of Financial Statements of Less Complex Entities

Paragraph	Significant Changes and the Rationale for Those Changes
Content Box	The Task Force aligned the first sentence with the description included in the Preface.

¹ ISA 200, *Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with International Standards on Auditing*

Paragraph	Significant Changes and the Rationale for Those Changes
Limitations for Using the ISA for LCE	
A.1.	- The Task Force aligned the classes of entities in paragraph A.1.(c) with the classes in the final revised International Ethics Standards Board for Accountants (IESBA) Revisions to the <i>Definitions of Listed Entity and Public Interest Entity</i> in the <i>International Code of Ethics for Professional Accountants (including International Independence Standards)</i> (the IESBA Code). As discussed in the June 2022 Issues Paper, while the definition of a Public Interest Entity (PIE) in the IESBA Code serves a different purpose than the description of classes of entities that may exhibit public interest characteristics that would make the use of the ISA for LCE inappropriate, respondents expressed the importance of aligning them to the greatest extent possible to avoid confusion. - The Task Force noted that, due to the other limitations and prohibitions described in the Authority, an entity that falls into the classes proposed to be removed (i.e., entities that provide post-employment benefits, act as a collective investment vehicle or issue redeemable financial instruments to the public) would not generally be using the ISA for LCE. However the Task Force propose to describe these classes in the Authority Supplemental Guide as additional classes for a jurisdiction to consider as part of their local modifications (consistent with the approach taken by IESBA). The Task Force also noted that any impacts because of Track 2 of the IAASB PIE and Listed Entity Project would be addressed through future amendments to the proposed ISA for LCE, if relevant.
EEM under Qualitative Characteristics	The Task Force added an additional bullet to clarify that requirements related to the reports on the description, design, or operating effectiveness of controls at a service organization (i.e., type 1 or type 2 reports) are not included in the ISA for LCE. Respondents had identified this as an area that should be clarified in the Authority rather than in a supplemental guide.
Table under A.3.	The Task Force updated the word “typically” to “ordinarily” in the qualitative characteristic describing accounting estimates. The Task Force did so to address comments made by the Board in September 2022 and to be more consistent with complexity, understandability, scalability and proportionality (CUSP) guidelines. As previously discussed with the Board, the Task Force proposes to include additional guidance on how this can be applied within the Authority Supplemental Guide.

Part 1, Fundamental Concepts, General Principles and Overarching Requirements

Paragraph	Significant Changes and the Rationale for Those Changes
1.2. Relevant Ethical Requirements and Firm Level Quality Management	
EEM under 1.2.1.	The Task Force added EEM to reflect respondents' comments. See Agenda item 4, paragraphs 17 and 20.
1.3. Overall Objectives of the Auditor	
1.3.2.	The Task Force aligned the wording with ISA 200, paragraph 19 to make it easier to understand.
1.4. Fundamental Concepts and General Principles for Performing the Audit	
1.4.1	The Task Force merged paragraph 1.4.3. into paragraph 1.4.1. to make it simpler and more straightforward to understand.
EEM under 1.4.1.	The Task Force proposed guidance (adapted from ISA 200, paragraph A18) to provide further clarity on when a requirement is relevant, in the context of the ISA for LCE.
1.5. Fraud	
EEM Under 1.5.	- Second paragraph. To address respondents' comments, the Task Force removed the first sentence since it is covered by paragraph 1.3.1. - Fourth paragraph. It was noted by respondents that it is confusing for the sentence to only mention fraud. The Task Force noted the sentence is covered by paragraphs 1.3.1. and 1.3.3. and decided to remove it.
1.6. Law or Regulation	
1.6.2. and related EEM	Respondents suggested that paragraph 1.6.2 should become EEM. The Task Force noted the paragraph describes what is not required thus considered the suggestion and moved to EEM under 1.6.1. The related EEM was moved together.

Paragraph	Significant Changes and the Rationale for Those Changes
1.8. General Communications with Management and Those Charged with Governance	
1.8.2.	See Agenda Item 4, paragraph 21.
EEM under 1.8.2.	The Task Force noted that it is not appropriate, and inconsistent with the ISAs, to always communicate to management everything that is also communicated with those charged with governance (TCWG) (see Agenda Item 4, paragraph 21). Therefore, the Task Force removed the second paragraph of the EEM. Also, the use of “TCWG” has been reviewed throughout the standard to be deliberately used where communication is designed to be in addition to management.
EEM under 1.8.3.	Second paragraph. In the March 2023 Board meeting it was suggested to add EEM that explains that communications with management or TCWG of an LCE are more likely to be oral or informal. It was also proposed to be located in Part 1 since it contains general requirements on communications (see Agenda item 6, paragraphs 48 (c) and 56 from March 2023 Board meeting).

Part 2, Audit Evidence and Documentation

Paragraph	Significant Changes and the Rationale for Those Changes
2.3. Information to be Used as Audit Evidence	
EEM under 2.3	The Task Force proposes edits to clarify that audit evidence may be obtained in relation to procedures of other Parts and to reorder the EEM to follow a more logical order.
2.5. General Documentation Requirements	
EEM under 2.5	The Task Force made edits for readability and moved some of the EEM to under paragraph 2.5.1 as related to that paragraph rather than the section more generally (consistent with how the corresponding requirement and application material in the ISA is presented).
EEM under 2.5.1.	The Task Force re-ordered the EEM for better flow and readability.

Paragraph	Significant Changes and the Rationale for Those Changes
	- Second Paragraph. The Task Force added EEM to address concerns raised in the March 2023 Board meeting that documentation requirements in relation to the nature, timing and extent of risk identification and assessment, further audit procedures and procedures in other Parts would not be addressed through specific or general documentation requirements. - Fifth Paragraph. Based on comments from the Board in March 2023 that the EEM added based on ISA 230² needed further context, the Task Force added additional EEM based on ISA 230, paragraphs A6 and A7. The EEM reinforces the objective to be achieved with documentation and provide more context.
EEM under 2.5.4.	The Task Force added additional guidance based on ISA 230 paragraph A19. This EEM builds from requirements in paragraph 1.4.1 relating to what relevant requirements are, but is located here as it is specifically addressing documentation.

Part 3, *Engagement Quality Management*

Paragraph	Significant Changes and the Rationale for Those Changes
3.2. The Engagement Partner's Responsibilities	
EEM under 3.2.	The Task Force removed the EEM, since the boxes with requirements and EEM when there are engagement team members other than the engagement partner are now included throughout the standard. The concept is addressed in the Preface (Paragraph P.13).
3.2.1 (b)	The Task Force added additional content to align with ISA 220 (Revised),³ paragraph 14 for consistency.
3.2.2A	To address comments from the Board, the Task Force added a requirement that addresses the engagement partner's understanding of relevant ethical requirements. This paragraph is based on ISA 220 (Revised), paragraph 16.

² ISA 230, *Audit Documentation*

³ ISA 220 (Revised), *Quality Management for an Audit of Financial Statements*

Paragraph	Significant Changes and the Rationale for Those Changes
3.2.7.(a)	The first sentence of this paragraph was included in the ED-ISA for LCE but was deleted in the version presented to the Board in March 2023. The Task Force added it back based on comments from the Board during the March 2023 meeting.
3.2.7.(b)	Based on comments from the Board, the Task Force removed the last part of the sentence as it was not necessary to be that granular.
3.2.10.(a)	The Task Force revised this requirement to be further aligned with ISA 220 (Revised), paragraph 39(a) based on comments from the Reference Group and the Board.
EEM under 3.2.13A.	The Task Force added back EEM that had been proposed for removal in March 2023, based on comments from the Board that it was useful.

Part 4, Acceptance or Continuance of an Audit Engagement

Paragraph	Significant Changes and the Rationale for Those Changes
4.2. Determining that the ISA for LCE is Appropriate for the Audit Engagement	
4.2.1.	The Task Force merged this requirement into paragraph 4.4.1. (see comment at 4.4.1. below).
4.3. Preconditions for an Audit	
4.3.1. (b)	The Task Force removed the reference to TCWG to be aligned with ISA 210,⁴ paragraph 6.
4.4. Additional Considerations in Engagement Acceptance	
4.4.1.	In the March 2023 Board meeting it was proposed to remove “including the appropriate use of the [draft] ISA for LCE” from paragraph 4.4.1. since it is duplicative of what is required in paragraph 4.2.1. It was noted by the Board that it should not be removed since it is critical for the engagement partner to determine the appropriate use of the proposed standard

⁴ ISA 210, *Agreeing the Terms of Audit Engagements*

Paragraph	Significant Changes and the Rationale for Those Changes
	not only in accordance with Part A but with the firm's policies as well. The Task Force discussed the comment and decided to merge paragraph 4.2.1. into 4.4.1. to make clear that both paragraphs are considered when determining the appropriate use of the proposed ISA for LCE.
EEM under 4.4.1.	When merging paragraphs 4.2.1. and 4.4.1., the Task Force moved the EEM under paragraph 4.2.1. to EEM under paragraph 4.4.1. and removed a sentence (i.e., "This determination is made when the engagement partner is determining that the firm's policies or procedures regarding acceptance and continuance have been followed (see paragraph 4.4.1.).") which is deemed unnecessary due to the merge.
4.8. Specific Documentation Requirements	
4.8.4.(a)	Based on March 2023 Board comments paragraph 4.8.4.(a) was added back.

Part 5, Planning

Paragraph	Significant Changes and the Rationale for Those Changes
5.2. Planning Activities	
EEM under 5.2.	The Task Force removed the second paragraph since it is now deemed unnecessary as requirements and EEM that are relevant when there are members on the engagement team other than the engagement partner have been distinguished from other requirements.
5.2.8. (c) and related EEM	The Task Force moved paragraph 5.2.8. (c) (and related EEM) to paragraph 7.4.26A. (and related EEM) because the requirements relate to the evaluation of an auditor's expert is in Part 7. For consistency the Task Force was of the view that the evaluation of a management's expert should also be in Part 7.

Paragraph	Significant Changes and the Rationale for Those Changes
EEM under 5.2.8.	- Based on a comment from a Board member, the Task Force removed the second sentence in first paragraph. The Task Force acknowledges that the content is coming from ISA 500,⁵ paragraph A48, but was of the view that it seems unbalanced in this context to mention the factor of capability only. - The Task Force moved a paragraph of EEM to Part 7 (EEM under paragraph 7.4.26A.). The Task Force is of the view that it better fits under Part 7 as it relates to evaluating the appropriateness of the management's expert's work which is not a planning procedure but a further audit procedure.
EEM under 5.2.9.	The Task Force removed the second and third sentences in the first paragraph since they were repetitive of paragraphs 3.2.7. and 5.2.2.(e).
5.3 Materiality	
EEM under 5.3.1.	- Based on March 2023 Board comments the Task Force made several changes to this section: - Third paragraph: added this paragraph. The paragraph was originally in the ED-ISA for LCE and was proposed to be removed at the March 2023 Board meeting. - Fourth paragraph. The Task Force made changes to align with ISA 320,⁶ paragraph A4. - Fifth paragraph. The Task Force added sentences to align with ISA 320, paragraph A5. - Seventh paragraph. The Task Force added this paragraph in the version of the ISA for LCE presented to the Board at the March 2023 Board meeting. However, Board members had mixed views on what should be included in this paragraph. The Task Force acknowledge the need to make the proposed ISA for LCE useful for the users and provide guidance which reflects the nature and circumstances of LCEs, but felt it was not appropriate to include percentages in the proposed standard that differ from the ISAs. Therefore, the Task Force suggests removing the paragraph and notes that further guidance may be included outside the proposed standard. - Sixth paragraph. The Task Force added the paragraph based on ISA 320, paragraph A9 since it may be useful for audits of LCEs.

⁵ ISA 500, *Audit Evidence*

⁶ ISA 320, *Materiality in Planning and Performing an Audit*

Paragraph	Significant Changes and the Rationale for Those Changes
EEM under 5.3.3.	The Task Force added some context as to why an auditor may designate a clearly trivial threshold, to improve the understandability of the guidance.
5.4. Specific Communication Requirements	
5.4.1.	The Task Force changed “to” to “with” to align further with ISA 260 (Revised)⁷ paragraph 15.
5.5. Specific Documentation Requirements	
5.5.4.(d)	Based on March 2023 Board comments, the Task Force removed the conditionality as the Board noted it was confusing and not consistent with ISA 450,⁸ paragraph 15.

Part 6, Risk Identification and Assessment

Paragraph	Significant Changes and the Rationale for Those Changes
6.3. Understanding Relevant Aspects of the Entity	
6.3.A.(f)	The Task Force removed “where applicable” as it was deemed confusing by the Board in March 2023.
6.3.B.	The Task Force updated the requirement for readability and consistency with ISA 240⁹ paragraphs 19 and 22.
6.3.9.	The Task Force reordered the lead in to be more consistent with ISA 315 (Revised 2019),¹⁰ paragraph 25 (a), to make it clearer what is required for significant classes of transactions, account balances and disclosures.

⁷ ISA 260 (Revised), *Communication with Those Charged with Governance*

⁸ ISA 450, *Evaluation of Misstatements Identified during the Audit*

⁹ ISA 240, *The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements*

¹⁰ ISA 315 (Revised 2019), *Identifying and Assessing the Risks of Material Misstatement*

Paragraph	Significant Changes and the Rationale for Those Changes
	The Task Force updated the content of the bullets throughout to be more consistent with ISA 315 (Revised 2019), taking into account comments from the Board during the March 2023 meeting, that it wasn't clear that the requirement considered the flow of information from the initiation of a transaction through to inclusion in the financial statements.
EEM under 6.3.9.	The Task Force added EEM to address comments from the Board during the March 2023 meeting (see description above in paragraph 6.3.9). The EEM is based on ISA 315 (Revised 2019), paragraph A134.
6.3.12B.	- The Task Force added a reference to paragraph 6.3.9 to clarify that when a service organization is used the auditor's understanding in accordance with paragraph 6.3.9. shall include the matters in 6.3.12B. - The Task Force aligned bullet (a) and added bullet (c), with ISA 402,¹¹ paragraph 9. This includes clarifying the understanding of the service organization includes the impact on the user entity's system of internal control. The Task Force noted respondents' comments (presented to the Board in December 2022) that it was unclear what was required to be understood for service organizations that are relevant. - The Task Force also added a hanging paragraph to clarify that the understanding obtained should be sufficient to provide an appropriate basis for the identification and assessment of the risks of material misstatement, consistent with ISA 402, paragraph 11.
EEM under 6.3.12B	- First paragraph. The Task Force moved EEM from under paragraph 7.4.26 because this is the first time the use of service organizations is discussed in the standard and the EEM covers the understanding of service organizations. - Second paragraph. The Task Force deleted EEM as it was deemed no longer necessary due to the addition to the lead in at paragraph 6.3.12B. - Third paragraph. The Task Force added EEM to clarify paragraph 6.3.12B drawing on ISA 402, paragraphs 11, A6 and A7.
6.3.14. (e) and related EEM	The Task Force added bullet (e) to make it clearer that controls in (a) to (d) may include those related to service organizations. This is consistent with ISA 402, paragraph 10. This paragraph had been proposed as EEM in the draft of

¹¹ ISA 402, *Audit Considerations Relating to an Entity Using a Service Organization*

Paragraph	Significant Changes and the Rationale for Those Changes
	the ISA for LCE as presented to the Board in March 2023 but the Board suggested to instead include it in the requirement for more prominence. Due to this, the guidance in the third paragraph of related EEM was removed.
EEM under 6.3.15.	The Task Force added additional EEM based on ISA 315 (Revised 2019), paragraphs 12(d) (the definition of General information technology (IT) controls) and A150. This was done to address a Board comment that information processing controls should be emphasized.
6.4. Identifying and Assessing the Risks of Material Misstatement	
6.4.1.	The Task Force reordered bullet (a) to better reflect the ordering used in ISA 315 (Revised 2019), paragraph 30.
EEM under 6.4.2.	The Task Force added back EEM from ED-ISA for LCE that had been deleted in December 2022 when the Task Force proposed to change requirement 6.4.2. It was noted that when that proposed change to the requirement was reversed in the draft presented to the Board in March 2023, the EEM had not been added back.
6.4.3D.(b)	The Task Force edited bullet (b) for readability.
EEM under 6.5.A	The Task Force clarified that the auditor would need to transition to the ISAs if the determination to use the ISA for LCE is no longer appropriate. See Agenda Item 4, Section VI for further discussion on transitioning.
6.7.1	The Task Force edited wording after noting that the ISA 260 (Revised) required communication ‘with’ not ‘to’ relevant parties regarding significant risks.

Part 7, Responding to Assessed Risks of Material Misstatement

Paragraph	Significant Changes and the Rationale for Those Changes
Responding to Assessed Risks of Material Misstatement	
7.2 Audit Procedures Responsive to the Assessed Risks of Material Misstatement at the Financial Statement Level	
EEM under 7.2.2.	To address respondents' comments that including an element of unpredictability may be challenging when taking a fully substantial audit approach, the Task Force added EEM based on ISA 240 paragraph A37. This guidance includes matters that may achieve an element of unpredictability. Also see Agenda Item 4, paragraph 29(a).
7.3 Audit Procedures Responsive to the Assessed Risks of Material Misstatement at the Assertion Level	
General	To address respondents' comments, the Task Force changed the ordering of the paragraphs in this section. See Agenda Item 4, paragraphs 27 and 30.
7.3.2	The Task Force included the conditionality first to align with the CUSP principle that the conditionality should be included first.
EEM under 7.3.3	Respondents suggested to add ISA 500, paragraph A63 as it represents important contextual guidance that should be included given that the ISA for LCE is a standalone standard. The Task Force agreed and added EEM that explains the means available to the auditor for selecting items for testing.
7.3.12.(a)	In response to respondents' comments, the Task Force added sub bullets as the sentence was deemed long and complicated.
7.3.15.	To address respondents' comments that ED-ISA for LCE "lost" the work effort verb of "determine" and only requires the auditor to "make specific inquiries to understand," the Task Force aligned this requirement with ISA 330,¹² paragraph 17. Also see Agenda Item 4, paragraph 29(d).

¹² ISA 330, *The Auditor's Responses to Assessed Risks*

Paragraph	Significant Changes and the Rationale for Those Changes
Substantive procedures section	The Task Force re-ordered the requirements (and related EEM) in the Substantive Procedure section to make the order more logical. The Task Force was of the view that the first paragraph (as included in the ED-ISA for LCE) of that section is a back stop for the auditor to perform procedures on each material class of transactions, account balance, and disclosure for which no risk of material misstatement was identified and therefore should not be included first. The Task Force was also of the view that the requirement related to substantive procedures on significant risks should be placed before the requirement related to substantive procedures on the financial statement closing process as substantive procedures on significant risks are generally performed before substantive procedures on the financial statement closure process.
EEM under 7.3.18B.	With respect to paragraph 7.3.16, respondents noted that it is unclear whether one can only raise a risk and respond to that assertion, or whether all assertions need to be tested on this account balance as a result of potentially one qualitatively material matter impacting one assertion. In response, the Task Force added paragraph A43 and A44 from ISA 330 which explains that for significant classes of transactions, account balances and disclosures, substantive procedures may have already been performed and not all assertions within a material class of transactions, account balance or disclosure are required to be tested. Also see Agenda Item 4, paragraph 29(c).
EEM under 7.3.19A.	To address respondents' comments, the Task Force added EEM based on ISA 520,¹³ paragraph A6. The EEM describes when substantive analytical procedures are appropriate to be used. Also see Agenda Item 4, paragraph 29(b).
7.3.19C	This paragraph used to be part of 7.3.19D. (paragraph 7.3.6 in the ED-ISA for LCE). The Task Force separated the requirement as 7.3.19D just relates to misstatements for tests of details, while paragraph 7.3.19C relates to misstatements for test of details and deviations for test of controls.
7.4 Specific Focus Areas	
EEM under Going Concern	The Task Force moved EEM from Part 5 to Part 7 (as highlighted in the March 2023 papers for the Board). The Task Force is of the view that it better fits under Part 7 as it relates to obtain sufficient appropriate audit evidence which is not a planning procedure but a further audit procedure.

¹³ ISA 520, *Analytical Procedures*

Paragraph	Significant Changes and the Rationale for Those Changes
EEM under 7.4.1.	Respondents suggested to add A13 from ISA 570 (Revised)¹⁴ because it is aimed at LCEs as it explains that continued support by owner-managers is often important to less complex entity's ability to continue as a going concern. The Task Force agreed and added paragraph A13 from ISA 570 (Revised) as EEM.
7.4.2. and 7.4.3.	To streamline the standard, the Task Force merged paragraph 7.4.3 with 7.4.2.
EEM under 7.4.2.	The Task Force moved the last sentence of the EEM to EEM under 6.4.3H. It was included in the version discussed by the Board in March 2023. Therefore, it is highlighted as a track change in Part 7 but not in Part 6.
7.4.5.	The Task Force deleted "(a "material uncertainty" related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern)" as it was deemed unnecessary. The structure of this requirement is different from the related requirement in ISA 570 (Revised). ISA 570 (Revised), paragraph 16, includes a description of material uncertainty but because of the different structure, paragraph 7.4.5. does not have the same. Paragraph 7.4.5. includes a statement that, in the Task Force's view, does not contribute to the auditor's understanding. Given that respondents did not have any comments on the structure of this paragraph, the Task Force did not want to change it and deleted the statement instead.
7.4.7	Respondents noted that this paragraph was not written as a requirement (rather as a statement of fact) and that it is covered by 6.4.3.D and should therefore be deleted. The Task Force was of the view that it is an important reminder for auditors and decided to keep it as EEM under paragraph 7.4.8. Also see Agenda Item 4, paragraph 29(e).
7.4.9 – 7.4.15	- Respondents suggested streamlining this section as management of an LCE rarely keeps record of related party relationships or transactions or has formal related controls. The Task Force disagreed and is of the view that the requirements related to related party transactions are proportionate evidenced by the fact that other respondents did not have the same issue. The Task Force did: - Merge 7.4.13 with 7.4.12 to reduce the number of requirements. - Deleted 7.4.11(b) as it is covered by 7.4.15A.

¹⁴ ISA 570 (Revised), *Going Concern*

Paragraph	Significant Changes and the Rationale for Those Changes
	Also see Agenda Item 4 , paragraph 29(f).
7.4.16. and 7.4.18.	In the version of the proposed standard presented to the Board in March 2023, the Task Force deleted paragraph 7.4.16 as it was deemed duplicative. Based on comments from the Board, the Task Force added back 7.4.16 and deleted 7.4.18A. Both paragraphs signal that the auditor shall design and perform further audit procedures related to accounting estimates to obtain sufficient appropriate audit evidence regarding the assessed risks of material misstatement at the assertion level.
7.4.18D.(b)	In the March 2023 Board meeting, it was noted that the link is missing between paragraphs 7.4.18D and 7.4.18E. It was noted that ISA 540 (Revised)¹⁵ paragraph 27(b) requires the auditor, if the auditor determines that management's response to the auditor's request to perform additional procedures to understand or address estimation uncertainty does not sufficiently address estimation uncertainty, to develop an auditor's point estimate or range. The Task Force added this requirement in the ISA for LCE as well.
7.4.19.(c)	The Task Force included the conditionality first to align with the CUSP principle that the conditionality should be included first and aligned wording with ISA 501,¹⁶ paragraph 5.
EEM under 7.4.20.	Respondents noted that the EEM should make it clear that general inconvenience, difficulty, time, or cost involved are not sufficient to support a decision by the auditor that the physical inventory count attendance is impracticable. It was noted that if this is omitted, it may be interpreted that the auditor can easily determine that attendance is impracticable. The Task Force agreed that regardless of applying the ISAs or the ISA for LCE, the attendance of a physical inventory counting should not be easily avoided when inventory is material.
7.4.23A.	In response to views from respondents (see Agenda Item 4, paragraph 29(h)), the Task Force added a requirement (based on ISA 501, paragraph 11) that addressed situations when the auditor is unable to send a legal letter, or no response is received when a legal letter is sent.

¹⁵ ISA 540 (Revised), *Auditing Accounting Estimates and Related Disclosures*

¹⁶ ISA 501, *Audit Evidence-Specific Considerations for Selected Items*

Paragraph	Significant Changes and the Rationale for Those Changes
EEM under 7.4.26	The Task Force moved to EEM under paragraph 6.3.12B. because the use of service organizations is first discussed in Part 6 and the EEM covers the understanding of service organizations.
7.4.26A and related EEM	The Task Force moved paragraph 5.2.8. (c) and related EEM from Part 5 to Part 7 as the Task Force is of the view that it better fits under Part 7 as it relates to evaluating the appropriateness of the management's expert's work which is not a planning procedure but a further audit procedure.
7.5 Accumulation of Misstatements	
7.5.2.	Respondents noted that ISA 450 paragraph 7 was not included (see Agenda Item 4, paragraph 29(k)). The Task Force added EEM based on ISA 450, paragraph A9 to address respondents' comments. This EEM explains when the auditor may request management to examine a class of transactions, account balance or disclosure in order for management to understand the cause of a misstatement identified by the auditor. If the auditor does so, the auditor is required by paragraph (indirectly) 7.3.1. to perform further audit procedures responsive to assessed risks, and paragraph 7.5.5 to determine revisions to the audit if identified misstatements indicate that other misstatements may exist.
EEM under 7.5.3.	Respondents noted that, given the heightened focus on fraud, it would be appropriate to include ISA 240 paragraph A52 as EEM. The Task Force agreed and added EEM based on ISA 240 paragraph A52.
7.5.5.	Respondents noted that the ISA for LCE does not to distinguish between the "overall audit strategy" and the "audit plan" and therefore recommended not to use the this term in paragraph 7.5.5. The Task Force agreed and replaced the term "audit plan" with "the scope, timing and direction of the audit." This is similar to the wording used in Part 5. Also see Agenda Item 4, paragraph 29(l).

Paragraph	Significant Changes and the Rationale for Those Changes
7.6 Specific Communication Requirements	
EEM Under 7.6.2.	Respondents noted that the “context of the communication” referred to in the requirement can only be understood if EEM is provided. They suggested that the matters described in ISA 265¹⁷ paragraph 11(b)(i)–(iii) could be included as EEM. The Task Force agreed and added EEM based on ISA 265 paragraph 11(b)(i)–(iii).
7.7. Specific Documentation Requirements	
7.7.1.(g)	Respondents noted that ISA 330, paragraph 29 is missing from the ED-ISA for LCE and suggested to add this paragraph. The Task Force agreed and added that the auditor is required to document the conclusions reached about relying on controls that were tested in a previous audit (if the auditor plans to use audit evidence about the operating effectiveness of controls obtained in previous audits).

Part 8, Concluding

Paragraph	Significant Changes and the Rationale for Those Changes
8.1. Objectives	
8.1.1.(a)	The Task Force removed “when applicable” to align with ISA 450, paragraph 3.
8.3. Analytical Procedures that Assist When Forming an Overall Conclusion	
8.3.1.	The Task Force removed “or error” to align with the related ISAs (ISA 520, paragraph 6 and ISA 240, paragraph 35). Respondents noted the requirement to identify indications of risk of material misstatement due to error is more onerous than the ISAs requirements.

¹⁷ ISA 265, *Communicating Deficiencies in Internal Control to Those Charged with Governance and Management*

Paragraph	Significant Changes and the Rationale for Those Changes
8.4. Subsequent Events	
8.4.5A. and related EEM, 8.4.6A. 8.4.6B.	See Agenda Item 4, paragraphs 40-41.
8.5. The Auditor's Evaluations and Other Activities to Support the Auditor's Conclusion	
8.5.2.(c)	The Task Force removed the requirement to evaluate, for accounting estimates, whether sufficient appropriate audit evidence has been obtained as respondents noted that it is covered by paragraph 8.5.5.
8.5.9.	The Task Force changed the lead in of the requirement to be consistent with the related requirement in ISA 570 (Revised), paragraph 19. The Task Force considered a difference between the ISAs and the ISA for LCE not necessary and was of the view it is easier to understand.
8.6. Written Representations	
8.6. Heading	The Task Force took out the reference to management and TCWG from the heading. Respondents noted that the title should reflect that written representations are only required from TCWG if applicable. The Task Force considered it is simpler to take out the reference to both management and TCWG. This is also consistent with the title of ISA 580.¹⁸
8.6.1.	The Task Force removed “for all periods referred to in the auditor’s opinion.” Respondents noted this was repetitive of second sentence in paragraph 8.6.7.
8.6.6.(c)	Due to the changes in paragraphs 9.5.1.T. to 9.5.1.UU. to clarify the circumstances when the auditor’s opinion is to be modified related to written representations, the Task Force simplified the wording and made the wording more consistent with ISA 580, paragraph 19 (c).

¹⁸ ISA 580, *Written Representations*

Paragraph	Significant Changes and the Rationale for Those Changes
8.8. Specific Communication Requirements	
8.8.1.	The Task Force removed the reference to TCWG to align the requirement with ISA 450, paragraph 8 – ISA 450 does not require the communication of all misstatements accumulated during the audit with TCWG. ISA 450, paragraph 12 requires uncorrected misstatements to be communicated to TCWG and that is addressed in paragraph 8.8.2.
8.8.2.	The Task Force moved requirements from paragraph 8.8.4 to 8.8.2 (a) and (b) as both requirements are about what to communicate with TCWG. In addition, the Task Force changed the wording to be more aligned with ISA 450, paragraph 12. Respondents had noted that the outcome of the requirement included in the ED-ISA for LCE would cause differences with the ISAs (i.e., by specifying the uncorrected misstatements to be material).
8.8.2.(e) and 8.8.3	The Task Force merged paragraph 8.8.3 into 8.8.2.(e) since the respondents noted repetition. The Task Force considered it to be important to mention related parties thus decided to merge instead of removing paragraph 8.8.3.

Part 9, Forming an Opinion and Reporting

Paragraph	Significant Changes and the Rationale for Those Changes
9.4. Auditor's Report	
9.4.1(a)	See Agenda Item 4, paragraph 41(b).
Independent Auditor's Report Under 9.4.1. – Footnote 34 and 41	- See Agenda Item 4, paragraph 41(b). - In addition, the Task Force updated the content of footnote 34 to address certain narrow-scope amendments made by the International Accounting Standards Board to IAS 1¹⁹ as described in the IAASB's publication: Amendments to IAS 1 and the Impact on the ISAs.

¹⁹ International Accounting Standard (IAS) 1, Presentation of Financial Statements

Paragraph	Significant Changes and the Rationale for Those Changes
9.5. Modifications to the Opinion	
9.5.1.OO	The Task Force added a reporting requirement to address the related performance requirement from paragraph 7.4.23A.
9.5.1SS.	The Task Force added the requirement based on ISA 560,²⁰ paragraph 13 given the subsequent events requirements added in relation to events or conditions of which become known to the auditor after the date of the auditor's report but before the date the financial statements are issued. See Agenda Item 4, paragraph 42.
9.5.1.T. to 9.5.1.UU.	The Task Force enhanced the circumstances when the auditor's opinion is to be modified in relation to written representations. The Task Force is of the view that the new requirements are clearer and more aligned with the ISAs. The Task Force noted that it is better if the circumstances were split more granularly to show the differences in the types of modified opinion. With the changes made, the requirements from 9.5.1.T. to 9.5.1.UU. reflects the paragraphs in ISA 580, paragraphs 18, 19 (c), 20 (a) and (b) respectively.
9.5.3A	The Task Force added this requirement from ISA 705 (Revised),²¹ paragraph 24 based on respondents' comments that the circumstance would be relevant for an LCE.
9.5.4A.	The Task Force added this requirement based on ISA 705 (Revised), paragraph 27 based on respondents' comments that this requirement was important to include.
9.6. Other Paragraphs in the Auditor's Report	
9.6.3 / 9.7.2A	The Task Force moved this requirement to paragraph 9.7.2A as it relates to comparative information.
9.6.8.	The Task Force added this requirement which is based on ISA 560, paragraph 16 in relation to the requirements added per subsequent events if facts become known to the auditor after the financial statements are issued. See Agenda Item 4, paragraph 40.

²⁰ ISA 560, *Subsequent Events*

²¹ ISA 705 (Revised), *Modifications to the Opinion in the Independent Auditor's Report*

Paragraph	Significant Changes and the Rationale for Those Changes
9.7. Comparative Information–Corresponding Figures and Comparative Financial Statements	
9.7.2A. and related EEM	The Task Force updated the requirement to make it clear it relates to only comparative financial statements and addresses corresponding figures in the EEM. Respondents noted that it may be confusing that this paragraph was trying to address both paragraph 13 and 17 of ISA 710²² which are slightly different (an Other Matter paragraph is only required if presenting comparative financial statements) so the Task Force had the view it was clearer to distinguish them.

Appendices

Paragraph	Significant Changes and the Rationale for Those Changes
Overall	The Task Force changed the order of the appendices so the order will be aligned with the order of where the respective appendices are mentioned in the proposed standard.
Appendix 2	Respondents noted that the title of the section “The responsibilities of management and identification of the applicable financial reporting framework” was missing compared to the example in ISA 210, and therefore the title was added.
Appendix 3	The Task Force updated the diagram based on changes to the standard and comments from the reference group. This included adding additional arrows in Part 6.4 and updating terminology to be more consistent with Part 6.
Appendix 5	The Task Force removed the first paragraph since it was a duplication of “assertions” already defined in the Glossary.
Appendix 6	The Task Force added the appendix based on ISA 530,²³ appendices 2 and 3, acknowledging respondents' suggestion to add guidance to determine sample sizes. See Agenda Item 4, paragraph 32 (b).

²² ISA 710, *Comparative Information–Corresponding Figures and Comparative Financial Statements*

²³ ISA 530, *Audit Sampling*